

Stereo HCJDA 38
JUDGMENT SHEET
IN THE LAHORE HIGH COURT
BAHAWALPUR BENCH BAHAWALPUR
(JUDICIAL DEPARTMENT)

Writ Petition No.888 of 2012

Aman ul Haq

Vs.

***Province of the Punjab through Secretary Service and General
Department and others***

JUDGMENT

Date of hearing: - 29.04.2026.
Petitioner by: - Mr. Bilal Ahmad Qazi, Advocate for petitioner.
Respondents by: - Rai Mazhar Hussain Kharal, Assistant Advocate General, Punjab with Muhammad Masoom Mallhi, Naib Tehsildar Yazman, Munir Ahmad and Khawaja Riaz, Superintendents D.C. Office Bahawalpur.

RAHEEL KAMRAN, J:- Through this petition filed in terms of Article 199 of the Constitution of the Islamic Republic of Pakistan, 1973 (“the Constitution”), the petitioner has prayed as under:

“It is, therefore, humbly prayed that,

- i. *The declaration of abatement of applications for purchase of land under the relevant scheme notified in year 2003 by the Respondent, the relevant condition laid down in the notification dated 7-10-2010, non processing & non approval of the transfer of land through sale in favour of Petitioner by the Respondents, proceeding for open auction of the land under lease with the Petitioner, all, may kindly be declared as illegal, malafide, ultra vires of law and constitution, discriminatory, result of colorable exercise of official authority on the part of Respondents, without lawful authority and the same may kindly be set aside/quashed.*
- ii. *The Petitioner may kindly be declared eligible to purchase the state land under lease with him, according to the policy of year 2003.*
- iii. *That the official Respondents may kindly be directed to process, finalize and approve the case of sale of land in question in favour of Petitioner without any further*

- delay and complete the formal transaction in accordance with law.*
- iv. *Any other remedy which this Hon'ble Court deems fit may also be granted to the Petitioner."*

2. The facts of the case precisely are that the petitioner, a businessman, was granted lease of state land measuring 6 kanals comprised in Khasra No.52/9, Chak No.102/DB, Tehsil Yazman, District Bahawalpur, for installation of a petrol pump. The lease was duly sanctioned and the petitioner continued to pay lease money regularly. Subsequently, the Government of Punjab through notification¹ dated 10.12.2003, introduced a policy allowing lessees of state land to purchase the land under their lease, subject to eligibility. Availing this opportunity, the petitioner applied for purchase of the leased land. His application was processed through the relevant revenue hierarchy and the District Price Assessment Committee assessed the price initially at Rs.12,000/- per marla in 2005, which was later enhanced to Rs.30,000/- per marla in 2007 and subsequently to Rs.35,000/- per marla in 2009. It is the stance of the petitioner that he was declared eligible for purchase by the competent authority but despite fulfillment of all requirements and willingness to pay even the enhanced price, the respondents failed to finalize the transaction, whereas similarly placed persons were granted ownership under the same policy. In the meantime, the Government introduced a new policy vide notification² dated 07.10.2010 providing for grant of fresh leases through open auction and declaring that all pending applications under the policy of 2003 would stand abated. Acting upon this policy, the respondents initiated proceedings for auction of the land under the petitioner's lease, which constrained him to approach this Court through the instant writ petition challenging the said actions as illegal, discriminatory and without lawful authority.

It may be observed that during the pendency of this writ petition, contempt proceedings alleging non-compliance of an interim

¹ Notification No.3744-2003/3223-CLII dated 10.12.2003, issued under section 10(2) of the Colonization of Government Lands (Punjab) Act, 1912.

² Notification No.3510-2010/2794-CLII dated 07.10.2010, issued under section 10(2) of the Colonization of Government Lands (Punjab) Act, 1912.

order passed herein was disposed of, which gave rise to ICA No.52 of 2023. ICA No.39 of 2024, though arising out of separate contempt proceedings, was also ordered to be fixed along with ICA No.52 of 2023 in view of the common legal question relating to maintainability of intra-court appeals against orders passed in contempt jurisdiction. Since ICA No.52 of 2023 had its origin in contempt proceedings arising out of Writ Petition No.888 of 2012, this Court, vide order dated 06.11.2025 passed in the said appeal, directed the Office to fix the writ petition along with ICA No.52 of 2023. It is in this background that the writ petition, though otherwise triable by Single Bench, was placed before and heard by this Division Bench. The instant judgment, however, is confined to the decision of Writ Petition No.888 of 2012, while the intra-court appeals shall be taken up of separately.

3. Learned counsel for the petitioner contended that the petitioner had acquired a vested right or at least a legitimate expectation to purchase the leased land under the policy of 2003 having applied within time and having been declared eligible by the competent authority. It was argued that the delay in processing and finalizing his application is solely attributable to the respondents and the petitioner cannot be penalized for such inaction by subjecting the land to auction under a subsequent policy. It was further contended that similarly situated lessees were granted ownership rights and denial of the same benefit to the petitioner amounts to discrimination.

4. Conversely, learned Assistant Advocate General appearing on behalf of the official respondents has opposed the petition. It is contended that the petitioner had no vested right to seek purchase of the leased land and the policy of 2003 merely conferred a conditional privilege, subject to approval by the competent authority. It was argued that no final approval for transfer of land in favour of the petitioner was ever granted and, therefore, no enforceable right accrued in his favour. Learned AAG submitted that the subsequent policy dated 07.10.2010, whereby all pending applications were declared abated and fresh leases were to be granted through open auction, was a policy decision taken in public

interest and is fully within the domain of the executive authority. It was further contended that mere delay in processing the petitioner's application does not create any indefeasible right nor can the doctrine of legitimate expectation be invoked against a change in policy. The allegation of discrimination was also controverted on the ground that each case depends upon its own facts and no parity can be claimed in absence of identical circumstances. It was further argued that the petitioner's claim is, in effect, founded upon a request for transfer of state land through private treaty, whereas the Supreme Court of Pakistan has consistently laid down that public assets are to be disposed of through transparent and unrestricted open public auction. He submitted that private treaty, as a mode for alienation of public property, has been discouraged and held to be inconsistent with the principles of transparency, fairness and protection of public interest. He further contended that where no final approval for sale had been granted in favour of the petitioner and his application was still pending consideration, no vested or enforceable right could be claimed on the basis of an earlier policy so as to compel the respondents to complete such transaction. To supplement his contentions, the learned Law officer relied upon the cases of "Province of Punjab through Secretary Revenue and others v. District Bar Association, Khanewal and others" (2014 SCMR 1611), "American International School System v. Mian Muhammad Ramzan and others" (2015 SCMR 1449) and "Ms. Jahan Ara and 2 others v. Punjab Cooperative Board for Liquidation through Chairman" (2025 CLC 1307).

5. Arguments advanced by learned counsel for the parties have been heard at length and the record has been carefully perused. The controversy, in its essential character, revolves around the petitioner's claim that by exercising option under Notification dated 10.12.2003, he became entitled to purchase the state land leased to him for establishment of a petrol pump. The said notification was issued by the Board of Revenue, Punjab, laying down conditions in respect of state land leased out for various purposes. The scheme of the notification was that no further extension of certain leases would be allowed and the lessee was

afforded an option either to surrender the land or to seek its purchase through private treaty, subject to the terms and conditions prescribed therein. It is not disputed that the petitioner exercised such option within the stipulated period. However, the filing of option by itself was not the culminating point of the process, rather, it was merely the commencement of an administrative exercise which was to pass through different departmental stages before any enforceable right could be said to have accrued in favour of the petitioner. The available record shows that the matter was processed at certain levels. The District Officer (Revenue), Bahawalpur vide letter dated 19.05.2005, communicated the matter to the Executive District Officer (Revenue), Bahawalpur with the request to forward the case to the Board of Revenue, Punjab, stating therein that the District Price Assessment Committee had unanimously approved the price of the land at Rs.12,000/- per marla. Thereafter, vide letter dated 18.05.2009, the Board of Revenue, Punjab required the District Officer (Revenue), Bahawalpur to first determine the eligibility of the applicant for purchase of land by private treaty under the policy instructions and thereafter to obtain fresh approval of the District Price Assessment Committee regarding the price of the land in question on commercial rate. Pursuant thereto, the District Officer (Revenue), Bahawalpur through letter dated 15.07.2009 required the Deputy District Officer (Revenue), Yazman to submit a detailed report in the light of the notification dated 10.12.2003 along with the price of the land on commercial basis. In response, the Deputy District Officer (Revenue), Yazman reported that the price of the land was proposed at the rate of Rs.38,000/- per marla and that the case was being submitted for assessment of price through the District Price Assessment Committee, Bahawalpur. The record, however, does not travel beyond this stage. No document has been brought on record to show that the District Collector issued any declaration of eligibility in terms of the notification dated 10.12.2003 nor is there any material to establish that the price proposed or assessed at any stage was finally approved by the competent authority. Equally, no final order allowing sale of the land in favour of the petitioner was ever passed or

communicated to him. The position, therefore, which emerges from the record is that the petitioner's application remained under process and had neither been finally accepted nor rejected when the subsequent policy of 2010 was issued, whereby statement of conditions for grant of fresh leases and extension of leases of state land for installation of petrol pumps, CNG stations and service stations in the Province of Punjab through open auction was promulgated. By the said notification of 2010, it was specifically provided that all applications for purchase of land by lessees under the policy of 2003 would stand abated. Pursuant to this later policy, the District Administration, Bahawalpur, considered the matter relating to auction of lease of immovable properties for petrol pumps including the land in question, in its meeting dated 15.12.2011. Thus, on the date when the policy of 2010 came into field, the petitioner's claim had not attained finality and was still dependent upon further determination by the competent authorities.

6. The petitioner's principal contention is that on account of filing his option within time and because the matter had been processed by the revenue hierarchy, he acquired a vested right to purchase the land. This contention, however, cannot be accepted even in view of the language of the very notification dated 10.12.2003 on which the petitioner places reliance. The said notification did not confer an absolute right upon every lessee to purchase the state land. Rather, it expressly preserved the discretion of the Board of Revenue in the matter. The relevant clause reads as under:--

- "1) General.
- i) *Provided that no lessee shall be entitled as of right to purchase the state land and the Board of Revenue, Punjab retains its absolute discretion in the sale of such rights.*
- ii) *All sales under these conditions shall be subject to the provision of the Act and also to;*
 - a) *The General Colony conditions of 1938 published vide Punjab Government Notification No.5792-C, dated 29-6-1938 as amended from time to time;*
 - b) *The statement of Conditions as appearing hereinafter; and*

c) Such instructions as may be issued subsequently by the Government for carrying out the purposes of this notification.”

The above stipulation is clear and admits of no ambiguity. It negates the assertion that the mere exercise of option created an indefeasible right in favour of the lessee. The right, if any, was conditional, contingent and subject to satisfaction of the requirements of the policy, determination of eligibility, assessment and approval of price and final approval by the competent authority. When the very source of the petitioner's claim declares that no lessee shall be entitled as of right to purchase the state land, the petitioner cannot claim a higher right than what the policy itself contemplated.

7. The procedure provided in the notification also supports the above observation. After a lessee exercised option, the Deputy District Officer (Revenue) concerned was required to examine the claim with reference to eligibility and the revenue record. If the case was found fit for recommendation, the price of land was to be assessed by the District Price Assessment Committee and approved by the Government. Thereafter, the District Collector, on receipt of recommendation regarding eligibility, was to decide whether the sale should be allowed and if so, to issue a declaration of eligibility of the lessee for purchase of state land. These were not idle formalities rather were material steps going to the root of entitlement of a lessee. Unless these steps were completed in the manner prescribed, the claim remained inchoate. In the present case, the Board of Revenue itself, vide letter dated 18.05.2009, required that eligibility of the applicant be first determined and thereafter fresh approval of the District Price Assessment Committee be obtained on commercial rate. This communication shows that the matter had not reached the stage of final approval. The subsequent report of the Deputy District Officer (Revenue), Yazman even if read favourably to the petitioner, was no more than an inter-departmental communication. It did not amount to a declaration of eligibility by the District Collector nor to approval of sale by the competent authority. The price was also not finally

approved in accordance with the policy. Consequently, the essential conditions for conferment of proprietary rights had not been satisfied.

8. The Supreme Court of Pakistan in the case of “Inspector General of Police, Quetta and another v. Fida Muhammad and others” (2022 SCMR 1583), elaborated that a vested right is independent of any contingency or eventuality. Relevant excerpt from the said judgment is as under:-

“The doctrine of vested right upholds and preserves that once a right is coined in one locale, its existence should be recognized everywhere and claims based on vested rights are enforceable under the law for its protection. A vested right by and large is a right that is unqualifiedly secured and does not rest on any particular event or set of circumstances. In fact, it is a right independent of any contingency or eventuality which may arise from a contract, statute or by operation of law.- - - ”

The legal position as to creation of vested rights in matters relating to sale of state land has been considered by this Court in the case of “Dil Awaiz Khan v. Government of Punjab through Secretary Colonies Department and another” (PLD 2014 Lahore 50). In that case also, the petitioner had exercised option under the notification dated 10.12.2003 but his eligibility had not been finally determined and price of the land had yet to be approved when the subsequent notification was issued. It was held that without determination of eligibility and fixation/approval of price, the claimant could not be said to have acquired a mature or vested right. The Court observed that a vested right is created when it is mature in every respect and no contingency exists before its completion and that where essential conditions remain to be established, the case does not fall within the ambit of a vested right. The facts of the instant case are materially similar. The petitioner’s claim was not at a stage where only a ministerial or formal act remained to be performed, rather, determination of eligibility by the competent authority, approval of commercial price and final decision regarding sale were still outstanding. The matter, therefore, suffered from substantial contingencies. In such circumstances, the petitioner’s option could not be treated as an enforceable entitlement. At best, it was a request for consideration under a policy which itself stood

withdrawn/abated before completion of the process. The subsequent notification dated 07.10.2010, therefore, did not defeat any vested right of the petitioner, for no such right had come into existence. It may also be observed that a policy decision of the Government regulating disposal or lease of state land, particularly when taken in the larger public interest and with the object of ensuring transparency through open auction, cannot be interdicted merely because certain applications under an earlier policy were pending consideration. A pending application, unless ripened into a final order by the competent authority, does not freeze the executive power of the Government to revise, modify or discontinue a policy. The doctrine of *locus poenitentiae* sheds light on the power of receding till a decisive step is taken but it is not a principle of law that an order once passed becomes irrevocable and a past and closed transaction. The petitioner had no enforceable right to insist that his pending request must necessarily be decided under the earlier policy notwithstanding its subsequent abatement.

9. The alternative plea of the petitioner founded upon the doctrine of legitimate expectation is equally untenable. The doctrine of legitimate expectation is not a substitute for an enforceable legal right. It operates within defined limits and generally arises where a public authority, by express representation or consistent past practice, induces in a person an expectation that a particular benefit or procedure would continue and withdrawal thereof is arbitrary, unfair or contrary to public interest. It cannot be invoked to compel the State to act contrary to law, nor can it be pressed into service against a subsequent policy framed in public interest, particularly where the earlier policy itself did not confer an entitlement as of right. In “Province of Punjab through Collector and another v. Malik Shah Nawaz and others” (2012 MLD 1045), a Division Bench of this Court held that a person basing his claim on legitimate expectation must rely upon a representation of the public authority and its denial must amount to infringement of a right. The Court would interfere only where the denial is arbitrary, unreasonable, an abuse of power, against the principles of natural justice and not founded on public interest.

It was further held that recommendations or opinions of subordinate officials do not create enforceable rights unless accepted by the competent authority and communicated as a final order. In the case in hand, there was no unequivocal representation by the competent authority that the land would be sold to the petitioner. The notification of 2003 itself contained a caveat that no lessee would be entitled as of right to purchase the land and that the Board of Revenue retained absolute discretion in the matter. The correspondence relied upon by the petitioner does not amount to a promise, assurance or final decision. The letter of the Deputy District Officer (Revenue), Yazman dated 25.07.2009 stating that the petitioner was eligible, and proposing a price, was merely part of the internal administrative process. It was addressed to the District Officer (Revenue), Bahawalpur and the matter was still to be considered by the District Price Assessment Committee and thereafter by the competent authority. Such correspondence cannot be elevated to the status of a declaration of eligibility or a final order of sale. The distinction between an administrative recommendation and an enforceable decision is well settled. A recommendation remains an opinion at the departmental level unless it is accepted by the final decision-making authority and communicated to the person concerned. Until such acceptance and communication, no right is created and no liability is cast. Guidance in this respect is found in the cases of “Rehmatullah Khan through LRs v. Superintendent, Customs and others” (2014 SCMR 1203) and “Zubair Ahmed v. Province of Sindh through Chief Secretary, Sindh Secretariat, Karachi and 5 others” (2026 PLC (C.S.) 116). Applying this principle to the facts of the present case, the petitioner cannot rely upon internal correspondence to found a plea of legitimate expectation. More importantly, the later policy of 2010 was aimed at disposal/grant of leases through open auction, a mode which is inherently more transparent and conducive to protection of public assets. Such a policy cannot be characterized as arbitrary merely because it did not preserve pending applications under the earlier regime.

10. The plea of discrimination under Article 25 of the Constitution also does not advance the petitioner's case. The petitioner has referred to certain instances where, according to him, other lessees were granted proprietary rights under the policy of 2003. However, equality before law postulates equality amongst persons similarly placed in the same set of circumstances. It does not require that an incomplete or pending case must be treated at par with cases which had already matured into final approvals before the change of policy. Article 25 of the Constitution does not envisage negative equality, nor does it permit extension of a benefit merely because another person may have obtained it in different factual or legal circumstances. The record of the instant case shows that the petitioner's application was still under process when the notification dated 07.10.2010 was issued and all pending applications under the policy of 2003 were declared to have abated. The persons with whom parity is claimed have not been shown to be identically placed in all material respects. There is no material to establish that their cases were pending at the same stage as that of the petitioner on the date of issuance of the subsequent policy and were nevertheless treated differently. Rather, the petitioner's own case, as noticed above, lacked final determination of eligibility and final approval of price. It is settled that the principle of equality is subject to reasonable classification based on *intelligible differentia* and that equality must be between persons placed in the same set of circumstances. In absence of identity of circumstances, the allegation of discrimination remains unsubstantiated. Guidance in this respect is found in the case of "I.A. Sharwani and others v. Government of Pakistan through Secretary, Finance Division, Islamabad and others" (1991 SCMR 1041) and "Gul Zarif Khan and others v. Government of Khyber Pakhtunkhwa through Chief Secretary, Peshawar and others" (2025 SCMR 415). The same principle applies here. A lessee whose case had been finally approved prior to the later policy and a lessee whose application was still at an intermediate stage cannot be placed in one class. The petitioner has also not pleaded or established *mala fide* in the processing of his application. Mere delay, cannot by itself convert an incomplete

claim into a vested right or make the subsequent uniform policy discriminatory.

11. There is yet another important aspect which cannot be overlooked. The relief sought by the petitioner is essentially a direction for sale of state land through private treaty. State land is public property. Public functionaries hold such property as trustees for the people and are under a corresponding obligation to deal with it in a manner which is transparent, fair and capable of securing the best value for the public exchequer. The Courts while exercising constitutional jurisdiction in matters involving public assets, are required to remain conscious that public property is not squandered or alienated in a manner which may give rise to favoritism, arbitrariness or loss to the State. The Supreme Court of Pakistan has, in “American International School System v. Mian Muhammad Ramzan and others” (2015 SCMR 1449), settled the principle that disposal of public assets must be through a transparent and unrestricted open public auction. This Court in the case of “Malik Allah Ditta and others v. Member, Board of Revenue/(Judicial-V)/Chief Settlement Commissioner/Notified Officer, Punjab, Lahore and another” (2022 CLC 414), after considering the binding dicta of the Supreme Court, held that public assets cannot be alienated through private treaty and that unrestricted, transparent open auction is the recognized mode for their disposal. The rationale underlying these judgments is plain. Public assets are not meant to be transferred at the discretion of officials through private bargains. Their disposal must be in a manner which eliminates, as far as possible, favoritism, nepotism and lack of transparency and provides a fair opportunity to all eligible citizens to participate. Open auction is designed not merely to fetch better price but also to ensure public confidence in governmental dealings with public property. Any deviation from such mode, unless specifically sanctioned by law and consistent with constitutional requirements, would be open to serious objection.

12. Viewed in the above perspective, the very mode on which petitioner’s claim is founded has subsequently been disapproved by the

Courts in relation to disposal of public assets. Even otherwise, the later policy dated 07.10.2010 itself reflects a shift towards open auction in respect of state land leased for petrol pumps, CNG stations and service stations. Such policy is in consonance with the principles of transparency and public interest. The petitioner, therefore, cannot seek a writ compelling the respondents to complete a private treaty transaction which had not matured into any vested right and which, in any case, runs contrary to the settled principles governing disposal of public property.

13. It is also settled that constitutional jurisdiction of this Court is discretionary in nature. A writ is issued to enforce a legal right and to correct an act performed without lawful authority. Where the petitioner fails to establish an existing enforceable right and the action of the respondents is traceable to a subsequent policy framed for transparent management of state property, no case for interference is made out. The Court cannot direct the State to alienate public property by private negotiation merely because the petitioner's application had remained pending under an earlier policy.

14. For the foregoing reasons, this petition being devoid of any merit is dismissed. No order as to costs.

(MALIK WAQAR HAIDER AWAN) (RAHEEL KAMRAN)
JUDGE JUDGE

Announced in the Open Court on _____

JUDGE

JUDGE

Approved for reporting.

JUDGE